

Comply: UK MTD Integration



Version Control

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1. Introduction

1.1. Purpose of this section

The purpose of this document is to provide guidance and instruction on how Comply users submit Returns for UK using an API as part of HMRCs MTD. It will cover the steps required for Configuring Comply and for both Successful and Failed Submission flows.

1.2. Overview

To ensure clients are in Compliance with the Making Tax Digital (MTD) integration, Comply provides an API process which allows them to Submit returns digitally to HMRC.

1.2.1. Return Types

All Return Types can be submitted via API.

- VAT Returns
- Annual Returns

Please Note:

VAT – Amendments are not included in this process as a Manual Form is required by HMRC.

2. External Configuration (HMRC Authorisation)

Comply provides the user with the ability to file Submissions via an API (Digital Filing). The essentially allows the agent (TBI) to represent the client and submit returns on their behalf to HMRC.

In order for this to be used, authorisation is required to allow digital communication between TBI and HMRC, which allows returns to be submitted digitally by TBI on behalf of the client.

The following actions are required and are external steps which are completed outside of Comply, by TBI users acting as agents on behalf of the client.

To set this up, the user (TBI) must complete the following steps:

2.1. The agent (TBI) can read the guidance materials provided on GOV.UK.

<https://www.gov.uk/government/publications/making-tax-digital-how-vat-businesses-and-other-vat-entities-can-get-ready>

<https://www.gov.uk/guidance/use-software-to-submit-your-vat-returns>

<https://www.gov.uk/guidance/agents-use-software-to-submit-vat-returns>

2.2. The Agent creates an Agent Services Account.

To create this, visit:

<https://www.access.service.gov.uk/login/signin/creds>

The agent will need:

- A Government Gateway user ID and password.
- The Unique Taxpayer Reference (UTR) for your tax agent firm.
- The postcode associated with your UTR.

2.3. The Agent links VAT Clients.

The agent must complete the following:

- The agent signs into their Agent Services Account.
- Agent requests to ask a client to authorise them.
- Agent gives client's details including their VAT registration number (VRN) and VAT registration date.
- Agent gets a unique link and sends it to their client in email.
- Client receives email from agent and clicks on the link to begin the process.
- Client logs in with Government Gateway account and completes identity checks.
- Client confirms authorisation for agent to represent them.

2.4. The Agent signs the client up for MTD.

To do this, complete the following:

- Sign into HMRC online services using agent services account.
- Provide client details including VAT registration and client's business type.
- Give and verify agent's own email address. This is only required once.
- Choose whether client prefers to get emails or letters.
- Enter client's business email address.
- Tell clients they'll get a verification email with a link to click on. This will verify their business email address. The link will expire after 3 days.
- Confirm all information is correct before submitting it to HMRC.
- Wait to hear if the client is approved. This can take up to 3 days.

The agent can now file VAT Returns for their client.

2.5. The Agent Links the Software to HMRC.

Businesses and agents using your software to connect to the VAT (MTD) API must grant authority to your software to interact with HMRC on their behalf. We use the open standard OAuth 2.0 (opens in a new tab), which involves the business or agent signing in via their Government Gateway account and following the grant authority user journey.

- Business or agent requests to link your software to HMRC
- Your software launches the grant authority user journey
- Business or agent views the HMRC start page for an overview of the process and chooses to continue

- Business or agent signs in with their Government Gateway user ID and password (agents must use their new agent services user ID)
- Business or agent registers for or completes 2-step verification as applicable
- Business or agent completes identity checks if applicable
- Business or agent grants authority for the software to interact with HMRC on their behalf
- HMRC generates an OAuth token for the business or agent
- Your software stores the business or agent's OAuth token for later use in API calls on their behalf

3. Approve the Return

The first part of this process in Comply is introduced on the **Return Review** screen where the status of the return is as **To Approve**.

3.1. Approver Declaration

The user must tick the declaration confirming that they agree that the return, and the information contained within it, are correct and is approved for submission to HMRC.

Return 291

Jurisdiction United Kingdom	Entity UK-1-11	Type VAT Return	Frequency Quarterly	Period Jul-Sep 2023	Status To Approve	Filing Deadline 2023-11-07
---------------------------------------	--------------------------	---------------------------	-------------------------------	-------------------------------	-----------------------------	--------------------------------------

Next action due by 2023-11-02

Return Timeline • Audit History • 20 Comments • 2

Files Data Validation Transactions Return Validation Return Review

Return Boxes | Submission Results

English Local language

Section	Description	Original Value	Submitted Value	Previous Period	Deviations	Previous Year	Attachments
Box 1	VAT due on sales and other outputs	0.00	0.00	0		0	
Box 2	VAT due in the period on acquisitions of goods made in Northern Ireland From EU Member States	0.00	0.00	0		0	
Box 3	Total VAT due (this is the total of boxes 1 and 2)	0.00	0.00	0		0	
Box 4	VAT reclaimed in the period on purchases and other inputs (including...)	0.00	0.00	0		0	

Declaration

By approving this return I confirm that the information contained in this return as being correct and complete to the best of my knowledge and belief and approve for submission to HMRS.

☐ I agree to the Declaration

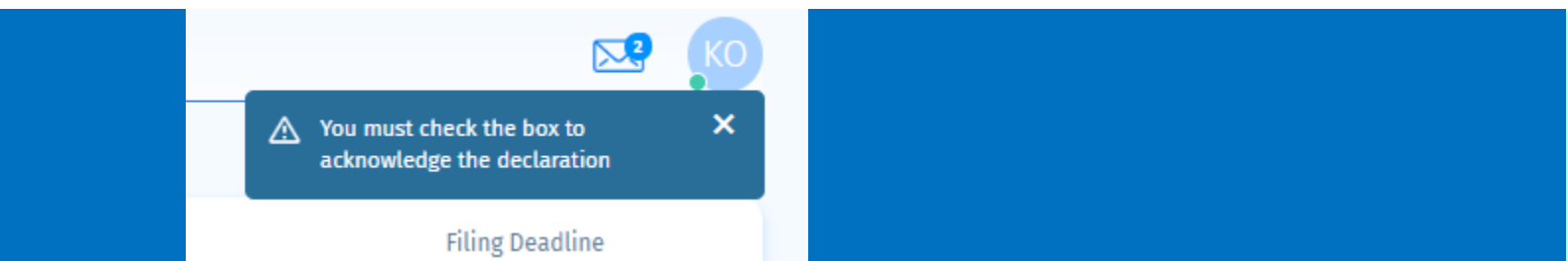
VIEW RETURN APPROVE REJECT

3.1.1. Unchecked Declaration

The **Approve** button is **disabled** until the declaration check box is ticked.

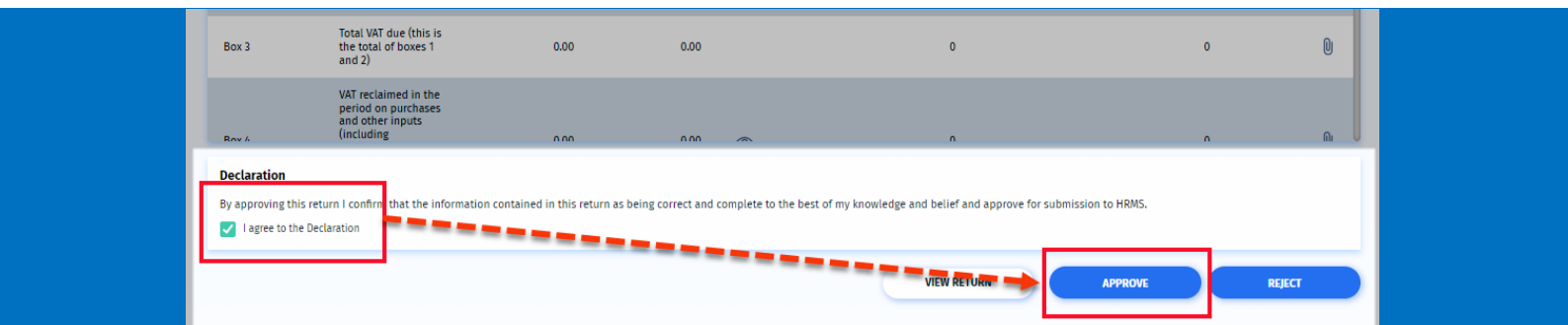


If the user clicks the disabled Approve button without ticking the declaration, a pop-up notification is displayed to remind them.



3.1.2. Checked Declaration

Once the declaration is checked, the Approve button is enabled and the user can approve the return.



3.1.3. Audit History

Once the user ticks the declaration and clicks Approve, this automatically adds a log of the agreement in the Audit History.

Return 291

Jurisdiction United Kingdom	Entity UK-1-11	Type VAT Return	Frequency Quarterly	Period Jul-Sep 2023	Status To Submit	Filing Deadline 2023-11-07
---------------------------------------	--------------------------	---------------------------	-------------------------------	-------------------------------	----------------------------	--------------------------------------

Next action due by 2023-11-07

Return Timeline **Audit History • 22** Comments • 2

AUDIT HISTORY [Download Logs](#) [Back to return](#)

[All Logs](#) [Return Logs](#) [Transaction Logs](#) [Date range](#)

All	Date	Event Group	Event Change From	Event Change To	User	Comment	Type
	Select date	Filter by	Filter by	Filter by	Filter by	Filter by	Filter by
	24/10/2023 09:56:46	Return Status Change	status - To Approve	status - To Submit	Keith O'Sullivan	Keith O'Sullivan agreed to the return declaration	Return
	24/10/2023 09:47:33	User Role Change	Approver - Daniela Valcheva	Approver - Keith O'Sullivan	Keith O'Sullivan		Return
	13/10/2023 12:48:39	User Role Change	Approver - Stanimira Stoycheva	Approver - Daniela Valcheva	Daniela Valcheva		Return

3.1.4. Return to "To Prepare"

It is important to note here that if the user sends the Return back to **"To Prepare"**, then once the return is ready for approval again then the **Approval Declaration will need to be ticked again**.

4. Submit the Return

4.1. Approver Declaration

The user must tick the declaration confirming that they agree that the return, and the information contained within it, are correct and is approved for submission to HMRC. The declaration also outlines that the user agrees that submitting false declarations can result in prosecution.

Return 291

Jurisdiction United Kingdom	Entity UK-1-11	Type VAT Return	Frequency Quarterly	Period Jul-Sep 2023	Status To Submit	Filing Deadline 2023-11-07
---------------------------------------	--------------------------	---------------------------	-------------------------------	-------------------------------	----------------------------	--------------------------------------

Next action due by 2023-11-07

Return Timeline • Audit History • 22 Comments • 2

Files Data Validation Transactions Return Validation Return Review

Return Boxes Submission Results English Local language

Numerical Boxes		Non-Numerical Boxes						
Section	Description	Original Value	Submitted Value		Previous Period	Deviations	Previous Year	Attachments
Box 1	VAT due on sales and other outputs	0.00	0.00		0		0	
Box 2	VAT due in the period on acquisitions of goods made in Northern Ireland From EU Member States	0.00	0.00		0		0	
Box 3	Total VAT due (this is the total of boxes 1 and 2)	0.00	0.00		0		0	
Box 4	VAT reclaimed in the period on purchases and other inputs (including...)	0.00	0.00		0		0	

Declaration

When you submit this VAT information you are making a legal declaration that the information is true and complete. A false declaration can result in prosecution.

☒ I agree to the Declaration

RETURN "TO PREPARE" VIEW RETURN SUBMIT

Please note: The text in the Declarations will differ depending on if the submitter is the client themselves or an agent acting on their behalf.

4.1.1. Declaration Message by Submitter Type

Depending on the role, or the person responsible for filing the return, the text in the declaration may differ.

Client User

UK Declaration - Self-Submitter

Declaration

When you submit this VAT information you are making a legal declaration that the information is true and complete. A false declaration can result in prosecution.

☒ I agree to the Declaration

Agent/TBI User

Declaration

I confirm that my client has received a copy of the information contained in this return and approved the information as being correct and complete to the best of their knowledge and belief.

☐ I agree to the Declaration

4.1.2. Unchecked Declaration

The **Submit** button is **disabled** until the declaration check box is ticked.

ete to the best of their knowledge and belief.

[VIEW RETURN](#) [SUBMIT](#)

If the user clicks the disabled **Submit** button without ticking the declaration, a pop-up notification is displayed to remind them.

 You must check the box to acknowledge the declaration 

Filing Deadline

4.1.3. Checked Declaration

Once the declaration is checked, the Submit button is enabled and the user can Submit the Return.

VAT reclaimed in the period on purchases and other inputs (including

Rev A

0.00 0.00 0.00 0.00 0.00 0.00

Declaration

I confirm that my client has received a copy of the information contained in this return and approved the information as being correct and complete to the best of their knowledge and belief.

☒ I agree to the Declaration

RETURN "TO PREPARE"

VIEW RETURN

SUBMIT

4.1.4. Audit History

Once the user ticks the declaration and clicks Submit, this automatically adds a log of the agreement in the Audit History.

Next action due by 2023-11-07

Return Timeline • **Audit History • 24** Comments • 2

AUDIT HISTORY

Download Logs Back to return

All Logs

Return Logs

Transaction Logs

Date range

All	Date	Event Group	Event Change From	Event Change To	User	Comment	Type
	Select date	Filter by	Filter by	Filter by	Filter by	Filter by	Filter by
	24/10/2023 09:56:46	Return Status Change	status - To Approve	status - To Submit	Keith O'Sullivan	Keith O'Sullivan agreed to the return declaration	Return
	24/10/2023 09:47:33	User Role Change	Approver - Daniela Valcheva	Approver - Keith O'Sullivan	Keith O'Sullivan		Return
	13/10/2023 12:48:39	User Role Change	Approver - Stanimira Stoycheva	Approver - Daniela Valcheva	Daniela Valcheva		Return

4.1.5. [Return to "To Prepare"](#)

It is important to note here that if the user sends the Return back to **"To Prepare"**, then once the return is ready for Submission then the **Submission Declaration will need to be ticked again.**

4.2. Successful Submission Flow

After clicking Submit, 1 of 2 potential pop-up messages will be displayed:

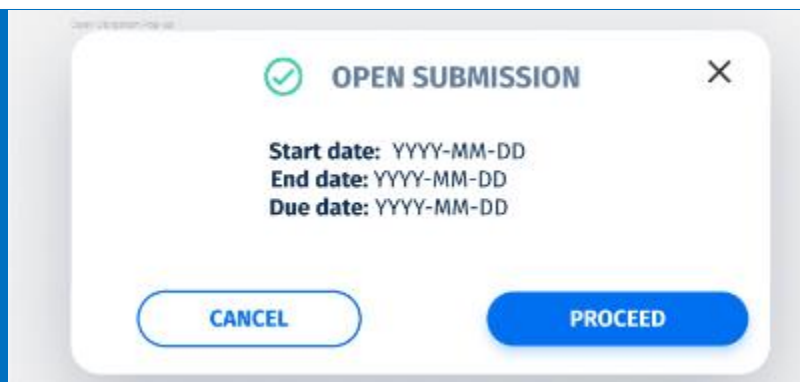
- **Open Submission** – This confirms the correct submission is being filed.
- **Fulfilled Submission** – This confirms a filing has already been submitted.

4.2.1. [Open Submission](#)

1. Click **Submit**.

Once the user clicks the **Submit** button, a pop-up notification will be displayed confirming the Open Submission and includes:

- Return Start Date
- Return End Date
- Return Due Date



This is displayed so that the user is aware that they are filing a return for the correct period and are happy to proceed to submit to HMRC.

2. Click **Proceed**.

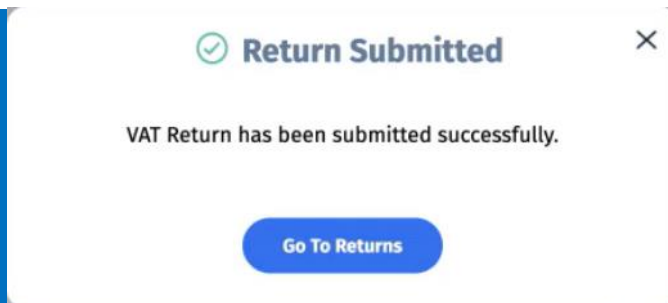
Once the user clicks Proceed, the return is automatically sent via API to HMRC.

*If the user clicks **Cancel**, then nothing is sent to HMRC and the user is returned to the **Return Review** Screen.*

Providing the submitted file passes HMRC validation, the following 4 actions are triggered in Comply:

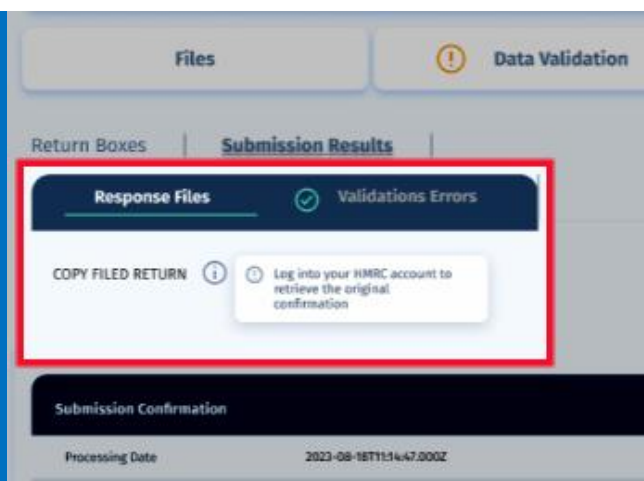
4.2.2. Submitted Pop Up

A pop-up notification confirms that the return has been submitted.



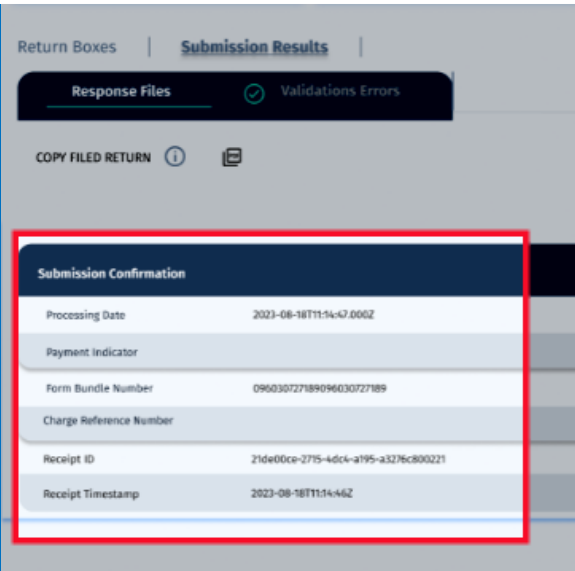
4.2.3. Response File

A PDF Copy of the Filed Return (as produced by HMRC) is populated in the **Response Files** tab of the Submission Results. This will also provide and information on where to locate the original file.



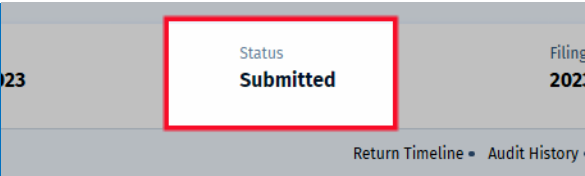
4.2.4. [Submission Confirmation](#)

A table populated with the HMRC Submission Confirmation details is displayed in the **Submission Results** tab on the Return Review Screen.



4.2.5. [Status Change](#)

The status of the Return will automatically change to **“Submitted”**.



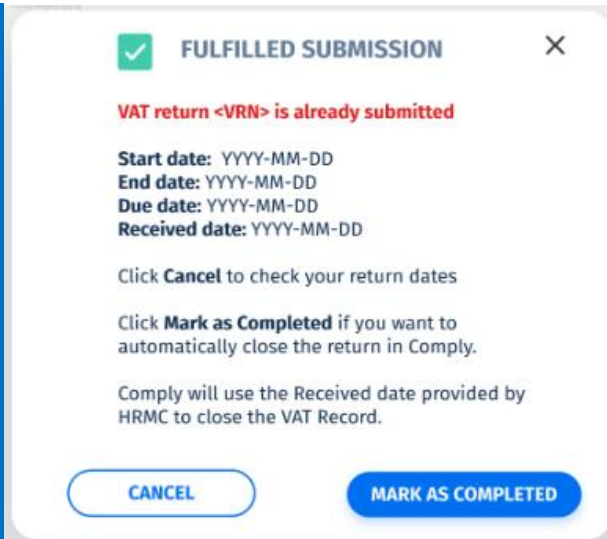
4.2.6. [Audit History](#)

A log of the Submitted return event will be added to the Audit History.

4.2.7. Fulfilled Submission

1. Click **Submit**.

Where a user clicks Submit and the Fulfilled Submission message is displayed, this identifies that a Return has already been submitted to HMRC for those dates.



Note: There may be many reasons for this.. E.g. A client who has migrated to Comply, but may have already submitted a return for this period on another platform.

2. Click **Mark As Completed**.

This will close the return in Comply and change the status to **Submitted**.

*If the user clicks **Cancel**, then the user is returned to the **Return Review** Screen.*

4.3. Failed Submission Flow

Submission failure may occur for the following reasons:

- Filing Obligation (HMRC)
- Data Validation (HMRC)

4.3.1. Filing Obligation

After clicking Submit, an Obligation validation is triggered. This checks if the data being submitted is for a required return for that period.

An error message is displayed if:

- The return for that period has already been submitted.
- There is no obligation required for the period details in the submitted file.

The following actions are triggered in Comply.

- The Status is changed to Submission Failed.
- A log in added to the Audit History.

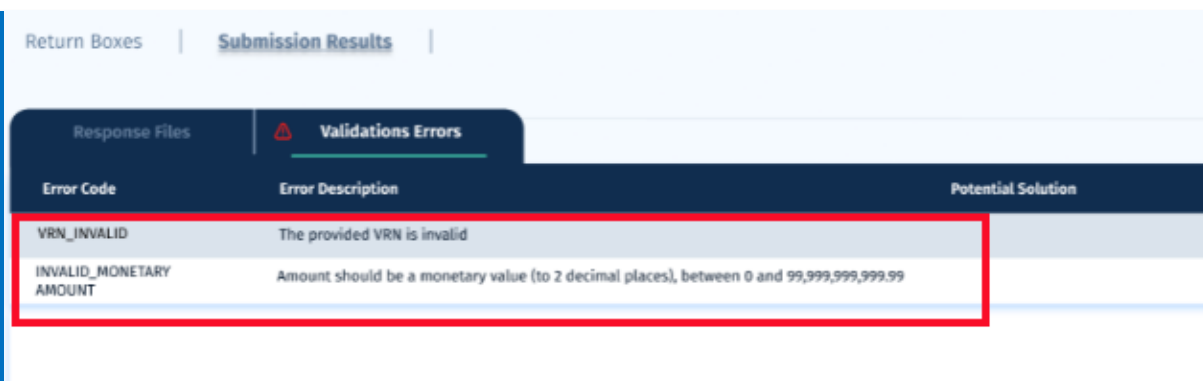
4.3.2. Data Validation

This occurs where the data submitted does not pass the HMRCs data validation step. There may be issues with the data.

1. When the users Clicks **Submit**.
2. HMRC identifies issues with the Data submitted.
3. This triggers the following simultaneous actions in Comply:
 - An **Error Message** is displayed in Comply.
 - The status changes to **Submission Failed**.

Status
Submission Failed

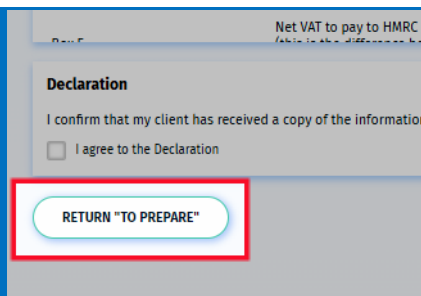
- The table of errors is populated in **Submission Results**.



The screenshot shows the 'Submission Results' tab in the software. Under the 'Validations Errors' section, there is a table with three columns: 'Error Code', 'Error Description', and 'Potential Solution'. Two errors are listed and highlighted with a red box:

Error Code	Error Description	Potential Solution
VRN_INVALID	The provided VRN is invalid	
INVALID_MONETARY_AMOUNT	Amount should be a monetary value (to 2 decimal places), between 0 and 99,999,999.99	

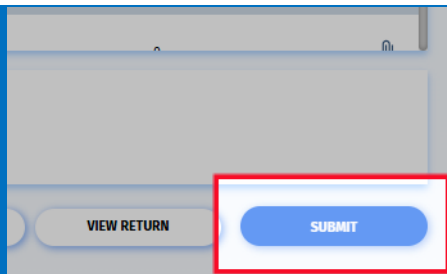
- The **Return to "To Prepare"** button is activated. (This allows the user to make the necessary changes and resubmit the return).



The screenshot shows a 'Declaration' section with a checkbox labeled 'I agree to the Declaration'. Below this, a button labeled 'RETURN "TO PREPARE"' is highlighted with a red box.

Once the user makes the necessary changes, they use the workflow to progress the return through Review, Approve and Submit.

- The **Submit Button** is activated.



- The failure is recorded as a log in the **Audit History**.

A screenshot of the 'AUDIT HISTORY' section in a software application. At the top, there's a status bar with 'Next action due by 2023-11-07' and 'Return Timeline • Audit History • 24 Comments • 2'. Below this, there are tabs for 'All Logs', 'Return Logs', and 'Transaction Logs'. The 'All Logs' tab is selected. The table below has columns: Date, Event Group, Event Change From, Event Change To, User, Comment, and Type. A red dashed arrow points from the 'Audit History' link in the top bar to a specific log entry. This entry is highlighted with a red box and contains the following data:

Date	Event Group	Event Change From	Event Change To	User	Comment	Type
24/10/2023 11:14:51	Return Status Change	status - To Submit	status - Submission Failed	Keith O'Sullivan	Data validation errors received	Return
24/10/2023 09:57:47	User Role Change	Submitter - Daniela Valcheva	Submitter - Keith O'Sullivan	Keith O'Sullivan		Return
24/10/2023 09:56:46	Return Status Change	status - To Approve	status - To Submit	Keith O'Sullivan	Keith O'Sullivan agreed to the return declaration	Return
24/10/2023 09:47:33	User Role Change	Approver - Daniela Valcheva	Approver - Keith O'Sullivan	Keith O'Sullivan		Return